Amendment No. 1 to HB1171

Lafferty
Signature of Sponsor

AMEND Senate Bill No. 1091* House Bill No. 1171

by deleting all language after the enacting clause and substituting:

SECTION 1. This act is known and may be cited as the "Tennessee Smiles Act."

SECTION 2. Tennessee Code Annotated, Section 67-4-2109, is amended by adding the following as a new, appropriately designated subsection:

(1) As used in this subsection ( ):

(A) "Child in custody" means a child who is a ward of the state and in the temporary or permanent legal custody of the department of children's services (DCS), or a child who is a non-ward of the state receiving services from the department of children's services, who has reached twelve (12) years of age but has not yet attained nineteen (19) years of age;

(B) "Cosmetic orthodontic care" means orthodontic treatment, including, but not limited to, fixed metal or ceramic appliances, clear aligners, or removable retainers, provided primarily to correct dental alignment for aesthetic purposes to improve the child's self-esteem and social integration, and that is not eligible for coverage under the TennCare program pursuant to title 71, chapter 5, as a medically necessary service under § 71-5-144;

(C) "Qualified service cost" means the actual cost of cosmetic orthodontic care, including initial consultation, appliances, adjustments, and retention, but excluding any charges for non-essential services or upgrades, and not to exceed the credit amount established in subdivision (b)(2); and

(D) "Taxpayer" means a person or entity subject to franchise and excise tax imposed by part 20 of this chapter and this part.

(2) There is allowed against the sum total of the franchise and excise taxes imposed by this part and part 20 of this chapter, a nonrefundable credit for providing cosmetic orthodontic care as follows:

(A) The credit is allowed to a taxpayer that is a licensed orthodontic practice, clinic, or provider and that provides cosmetic orthodontic care free of charge to a child in custody;

(B) The total credit for a full course of treatment is the qualified service cost not to exceed six thousand dollars ($6,000) for each child in custody; and

(C) The taxpayer shall claim a portion of the total credit in the tax year in which the costs were incurred, based upon the percentage of the full course of treatment completed during that tax year, as certified by a licensed orthodontist. The total cumulative amount of credit claimed for a single child must not exceed the amount specified in subdivision ( )(2)(B).

(3)

(A) The taxpayer must receive prior authorization from the commissioner of children's services for the provision of the cosmetic orthodontic care to a child in custody to ensure the child's eligibility and willingness to participate in a multi-year treatment plan.

(B) A credit authorized under this subsection ( ) that is unused may be carried forward for a period of ten (10) years against future liability for franchise and excise taxes.

(C) If a child in custody discontinues treatment before completion for reasons other than aging out of custody or the dissolution of the providing practice, then the taxpayer shall repay to the department of revenue, in the year the treatment is discontinued, the difference between the total credit claimed for that child and the credit amount corresponding to the percentage of treatment completed.

(4)

(A) The department of children's services shall establish an application and prior authorization process for children in custody and define the criteria and methodology for certifying the percentage of the full course of treatment completed for the purpose of a taxpayer claiming the credit under this subsection ( ). In order to take the credit, the taxpayer must maintain a certification from the department of children's services establishing entitlement to the credit.

(B) The taxpayer must maintain such records as required by the department of revenue to ensure that cosmetic orthodontic care is being provided.

(C) The department of revenue may share with the department of children's services information necessary to effectuate the purposes of this subsection ( ). The department of children's services is bound by restrictions on disclosure of such information otherwise applicable to the department of revenue.

(D) The commissioners of revenue and children's services are authorized to promulgate rules to effectuate the purposes of this subsection ( ). All such rules must be promulgated in accordance with the Uniform Administrative Procedures Act, compiled in title 4, chapter 5.

SECTION 3. This act takes effect upon becoming a law, the public welfare requiring it, and applies to tax years ending on or after December 31, 2026.